



Province of the  
**EASTERN CAPE**  
EDUCATION

Iphondo leMpuma Kapa: Isebe leMfundo  
Provinsie van die Oos Kaap: Department van Onderwys  
Porafensie Ya Kapa Botjhabela: Lefapha la Thuto

# **NATIONAL SENIOR CERTIFICATE**

## **GRADE 11**

### **NOVEMBER 2025**

## **BUSINESS STUDIES P1 MARKING GUIDELINE**

**MARKS: 150**

---

This marking guideline consists of 29 pages.

---

## NOTES TO MARKERS

### PREAMBLE

The notes to markers are provided for quality assurance purposes to ensure the following:

- (a) Fairness, consistency and reliability in the standard of marking
- (b) Facilitate the moderation of candidates' scripts at the different levels
- (c) Streamline the marking process considering the broad spectrum of markers across the country
- (d) Implement appropriate measures in the teaching, learning and assessment of the subject at schools/institutions of learning

1. For marking and moderation purposes, the following colours are recommended:

|                        |        |
|------------------------|--------|
| Marker:                | Red    |
| School moderation:     | Green  |
| District moderation:   | Orange |
| Provincial moderation: | Purple |

2. Candidates' responses must be in full sentences for SECTIONS B and C. However, this would depend on the nature of the question.
3. A comprehensive marking guideline has been provided but this is by no means exhaustive. Due consideration should be given to an answer that is correct but:
  - Uses a different expression from that which appears in the marking guideline
  - Comes from another credible source
  - Original
  - A different approach is used

**NOTE: There is only ONE correct answer in SECTION A.**

4. Take note of other relevant answers provided by candidates and allocate marks accordingly. (In cases where the answer is unclear or indicates some understanding, part-marks should be awarded, for example, one mark instead of the maximum of two marks.)
5. The word 'Sub-max' is used to facilitate the allocation of marks within a question or sub-question.
6. The purpose of circling marks (guided by 'max' in the breakdown of marks) on the right-hand side is to ensure consistency and accuracy in the marking of scripts as well as for calculation and moderation purposes.
7. Subtotals to questions must be written in the right-hand margin. Circle the subtotals as indicated by the allocation of marks. This must be guided by 'max' in the marking guidelines. Only the total for each question should appear in the left-hand margin next to the appropriate question number.

8. In an indirect question, the theory as well as the response must be relevant and related to the question.
9. Correct numbering of answers to questions or sub questions is recommended in SECTIONS A and B. However, if the numbering is incorrect, follow the sequence of the candidate's responses. Candidates will be penalised if the latter is not clear.
10. No additional credit must be given for repetition of facts. Indicate with an 'R'.
11. The differentiation between 'evaluate' and 'critically evaluate' can be explained as follows:
  - 11.1 When 'evaluate' is used, candidates are expected to respond in either a positive/negative manner or take a neutral (positive and negative) stance, e.g. Positive: 'COIDA eliminates time and costs spent ✓ on lengthy civil court proceedings.' ✓
  - 11.2 When 'critically evaluate' is used, candidates are expected to respond in either a positive/negative manner or take a neutral (positive and negative) stance. In this instance candidates are also expected to support their responses with more depth, e.g. 'COIDA eliminates time and costs spent ✓ on lengthy civil court proceedings, ✓ because the employer will not be liable for compensation to the employee for injuries sustained during working hours, as long as it can be proved that the business was not negligent.' ✓

**NOTE:** 1. The above could apply to 'analyse' as well.  
2. Note the placing of the tick (✓) in the allocation of marks.

12. The allocation of marks must be informed by the nature of the question, cognitive verb used, mark allocation in the marking guideline and the context of each question.

Cognitive verbs, such as:

- 12.1 Advise, name, state, outline, motivate, recommend, suggest, (list not exhaustive) do not usually require much depth in candidates' responses. Therefore, the mark allocation for each statement/answer appears at the end.
  - 12.2 Define, describe, explain, discuss, elaborate, distinguish, differentiate, compare, tabulate, analyse, evaluate, critically evaluate (list not exhaustive) require a greater depth of understanding, application and reasoning. Therefore, the marks must be allocated more objectively to ensure that assessing is conducted according to established norms so that uniformity, consistency and fairness are achieved.
13. Mark only the FIRST answer where candidates offer more than one answer for SECTION B and C questions that require one answer.

**14. SECTION B**

- 14.1 If for example, FIVE facts are required, mark the candidate's FIRST FIVE responses and ignore the rest of the responses. Indicate by drawing a line across the unmarked portion.

**NOTE:** 1. This applies only to questions where the number of facts is specified.  
2. The above also applies to responses in SECTION C (where applicable)

- 14.2 If two facts are written in one sentence, award the candidate FULL credit. Point 14.1 above still applies.

- 14.3 If candidates are required to provide their own examples/views, brainstorm this to finalise alternative answers.

**14.4 Use of the cognitive verbs and allocation of marks:**

- 14.4.1 If the number of facts is specified, questions that require candidates to 'describe/discuss/explain' may be marked as follows:

- Fact 2 marks (or as indicated in the marking guidelines)
- Explanation mark (two marks will be allocated in SECTION C)

The 'fact' and 'explanation' are given separately in the marking guideline to facilitate mark allocation.

- 14.4.2 If the number of facts required is not specified, the allocation of marks must be informed by the nature of the question and the maximum mark allocated in the marking guideline.

- 14.5 **ONE mark may be awarded for answers that are easy to recall, require one-word answers or are quoted directly from a scenario/case study. This applies to SECTIONS B and C in particular (where applicable).**

**15. SECTION C**

15.1 The breakdown of the mark allocation for the essays is as follows:

|              |                        |
|--------------|------------------------|
| Introduction | <b>Maximum:<br/>32</b> |
| Content      |                        |
| Conclusion   |                        |
| Insight      | <b>8</b>               |
| <b>TOTAL</b> | <b>40</b>              |

15.2 Insight consists of the following components:

|                                        |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       |           |
|----------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------|
| Layout/Structure                       | Is there an introduction, a body and a conclusion?                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    | <b>2</b>  |
| Analysis and interpretation            | <p>Is the candidate able to break down the question into headings/subheadings/interpret it correctly to show understanding of what is being asked?</p> <p>Marks to be allocated using this guide:<br/>           All headings addressed: 1 (One 'A')<br/>           Interpretation (16 to 32 marks): 1 (One 'A')</p>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  | <b>2</b>  |
| Synthesis                              | <p>Are there relevant decisions/facts/responses made based on the questions?</p> <p>Marks to be allocated using this guide:</p> <p>Option 1: <b>Only relevant facts: 2 marks (No '-S')</b><br/>           Where a candidate answers 50% or more (two to four sub-questions) of the question with only relevant facts; no '-S' appears in the left margin. Award the maximum of TWO (2) marks for synthesis.</p> <p>Option 2: <b>Some relevant facts: 1 mark (One '-S')</b><br/>           Where a candidate answers less than 50% (only one sub-question) of the question with only OR some relevant facts; one '-S' appears in the left margin. Award a maximum of ONE (1) mark for synthesis.</p> <p>Option 3: <b>Some relevant facts: 1 mark (One '-S')</b><br/>           Where a candidate writes FOUR questions, but one sub-question of the question with no relevant facts; one '-S' appears in the left margin. Award a maximum of ONE (1) mark for synthesis.</p> <p>Option 4: <b>No relevant facts: 0 marks (Two '-S')</b><br/>           Where a candidate answers less than 50% (only one sub-question) of the question with no relevant facts; two '-S' appear in the left margin. Award a ZERO mark for synthesis.</p> | <b>2</b>  |
| Originality                            | Is there evidence of one or two examples, not older than two (2) years that are based on recent information, current trends and developments?                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         | <b>2</b>  |
| <b>TOTAL FOR INSIGHT:</b>              |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       | <b>8</b>  |
| <b>TOTAL MARKS FOR FACTS:</b>          |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       | <b>32</b> |
| <b>TOTAL MARKS FOR ESSAY (8 + 32):</b> |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       | <b>40</b> |

- NOTE:**
- 1. No marks will be awarded for contents repeated from the introduction and conclusion.**
  - 2. The candidate forfeits marks for layout if the words INTRODUCTION and CONCLUSION are not stated.**
  - 3. No marks will be awarded for layout, if the headings INTRODUCTION and CONCLUSION are not supported by an explanation.**

- 15.3 Indicate insight in the left-hand margin with a symbol e.g. ('L, A, -S and/or O').
- 15.4 The breakdown of marks is indicated at the end of the suggested answer/ marking guideline to each question.
- 15.5 Mark all relevant facts until the SUB MAX/MAX mark in a subsection has been attained. Write SUB MAX/MAX after maximum marks have been obtained but continue reading for originality "O".
- 15.6 At the end of each essay, indicate the allocation of marks for facts and marks for insight as follows: (L – Layout, A – Analysis, S – Synthesis, O – Originality) as in the table below.

| CONTENT      | MARKS            |
|--------------|------------------|
| <b>Facts</b> | <b>32 (max.)</b> |
| <b>L</b>     | <b>2</b>         |
| <b>A</b>     | <b>2</b>         |
| <b>S</b>     | <b>2</b>         |
| <b>O</b>     | <b>2</b>         |
| <b>TOTAL</b> | <b>40</b>        |

- 15.7 When awarding marks for facts, take note of the sub-maxima indicated, especially if candidates do not make use of the same subheadings. Remember, headings and subheadings are encouraged and contribute to insight (structuring/logical flow/sequencing) and indicate clarity of thought. (See MARK BREAKDOWN at the end of each question.)
- 15.8 If the candidate identifies/interprets the question INCORRECTLY, then he/she may still obtain marks for layout.
- 15.9 If a different approach is used by candidates, ensure that the answers are assessed according to the mark allocation/subheadings as indicated in the marking guideline.
- 15.10 15.10.1 Award TWO marks for complete sentences. Award ONE mark for phrases, incomplete sentences and vague answers.
- 15.10.2 With effect from November 2015, the TWO marks will not necessarily appear at the end of each completed sentence. The ticks (√) will be separated and indicated next to each fact, e.g. 'Product development is a growth strategy, √ where businesses aim to introduce new products into existing markets.' √
- This will be informed by the nature and context of the question, as well as the cognitive verb used.
- 15.11 With effect from November 2017, the maximum of TWO (2) marks for facts shown as headings in the marking guidelines, will not necessarily apply to each question. This would also depend on the nature of the question.

**SECTION A****QUESTION 1**

- 1.1.1 C ✓✓  
 1.1.2 A ✓✓  
 1.1.3 B ✓✓  
 1.1.4 D ✓✓  
 1.1.5 A ✓✓ (5 x 2) (10)

- 1.2.1 no ✓✓  
 1.2.2 economic ✓✓  
 1.2.3 internal ✓✓  
 1.2.4 time-related ✓✓  
 1.2.5 assurance ✓✓ (5 x 2) (10)

- 1.3.1 C ✓✓  
 1.3.2 G ✓✓  
 1.3.3 H ✓✓  
 1.3.4 E ✓✓  
 1.3.5 A ✓✓ (5 x 2) (10)

**TOTAL SECTION A: 30****BREAKDOWN OF MARKS**

| QUESTION 1   | MARKS     |
|--------------|-----------|
| <b>1.1</b>   | <b>10</b> |
| <b>1.2</b>   | <b>10</b> |
| <b>1.3</b>   | <b>10</b> |
| <b>TOTAL</b> | <b>30</b> |

**SECTION B**

Mark the answers to the FIRST TWO questions only.

**QUESTION 2: BUSINESS ENVIRONMENTS****2.1 Types of power relationships**

- Strategic alliance agreements ✓
- Persuasion of large investors ✓
- Company representatives' influence ✓

**NOTE: Mark the first THREE (3) relationships only.**

(3 x 1)

(3)

**2.2 Negative impact of strikes on businesses**

- Strike actions have a potential of jeopardising ✓ relations. ✓/May lead to an unhealthy relationship ✓ between the employer/management and employees. ✓
- It can also affect teamwork in the workplace ✓ in instances where not all workers are in support of such industrial action. ✓
- Businesses suffer financial losses/ ✓ due to low levels of productivity and consumer confidence is adversely affected. ✓
- Strike actions may lead to production losses ✓ and decline in sales/economic growth. ✓
- Businesses may be forced to close down operations ✓ after strike actions. ✓
- May force businesses to retrench some of its skilled workers ✓ to recover from losses. ✓
- Looting, destruction of business property/infrastructure ✓ and intimidation of non-striking workers. ✓
- Employees can lose their pay ✓ with the 'no work no pay' rule applied by the business. ✓
- Businesses has to hire employees to replace striking workers ✓ and increases the training costs of new employees. ✓
- Businesses may lose market shares/customers to competitors ✓ during the period of a strike. ✓
- The image/reputation of the business ✓ might be damaged. ✓/Scares off ✓ potential investors. ✓
- The supplies of goods and services ✓ are interrupted. ✓
- Prices sometimes increase ✓ to offset the costs incurred by the strike. ✓
- Any other relevant answer related to the negative impact of strikes as a socio-economic issue on businesses.

Max. (6)

**2.3 Solution to piracy**

- 2.3.1 - Piracy ✓✓

Max. (2)

**2.3.2 Ways to protect against piracy****Patent** ✓✓

- A patent prevents other businesses/people from producing and selling the same product/specific service. ✓✓
- Businesses can take out a patent for new inventions and include a sample of their invention with the application. ✓✓
- They must register a patent with the patent office in South Africa. ✓✓
- The invention must comply with Patent Act No. 57 of 1978. ✓✓
- They can bring legal proceedings against anyone who produces/sells the invention. ✓✓
- Any other relevant answer related to patent as a solution to piracy.

Solution (2)

Description (2)

Sub-max (4)

**Trademarks** ✓✓

- Businesses can use trademarks to identify themselves and their products. ✓✓
- They must register their trademarks with the register of trademarks ✓ at the companies and intellectual property registration/CIPC. ✓✓
- A registered trademark is protected forever ✓ provided it is renewed every ten years and a renewal fee is paid. ✓✓
- Claim damages from someone who infringes the trademark. ✓✓
- Any other relevant answer related to trademarks as a solution to piracy.

Solution (2)

Description (2)

Sub-max (4)

**Copyright** ✓✓

- Businesses can sue someone who infringes the copyright. ✓✓
- They can also sue someone who sells or distributes works that he/she knew were infringements of copyright. ✓✓
- They can take legal action against people who copy their products. ✓✓
- Any other relevant answer related to copyright as a solution to piracy.

Solution (2)

Description (2)

Sub-max (4)

**NOTE: Only mark the first ONE solution.**

Max (4)

**2.4 Macro environment challenges****Political changes**

- The government decides its own objectives ✓ and ideologies. ✓
- A change in government laws ✓ forces businesses to adapt to new laws and policies. ✓
- A change in government can result in political instability ✓ which can scare away possible investors and tourists, and in turn threaten the survival of a business. ✓
- In some countries, there is a high level of political instability and civil war, ✓ that makes it very difficult for businesses to operate there efficiently and profitably. ✓
- Any other relevant answer related to political as a challenge from the macro environment.

Max. (4)

**2.5 Socio-economic issues**

2.5.1 Illiteracy ✓✓

(2)

2.5.2 Demographic issues ✓✓

(2)

**2.6 Link between the primary, secondary and tertiary sectors**

- The primary, secondary and tertiary sectors all work together ✓ to create an economic chain of production. ✓
- The primary sector extracts raw materials, ✓ after which the secondary sector transforms/processes the raw materials into products. ✓
- The secondary sector depends on the primary sector ✓ for raw materials and products. ✓
- The secondary sector needs the tertiary sector ✓ to sell their processed or manufactured goods and also for services such as banks, insurance, transport and communication. ✓
- The primary sector depends on the secondary sector ✓ for manufactured goods such as machinery/equipment/fertilisers. ✓
- The primary sector is dependent on the tertiary sector ✓ for its customer needs. ✓
- The primary sector depends on others in the primary sector ✓ for raw materials/feed, e.g. a farmer may require seeds from another farm. ✓
- The secondary sector depends on other secondary industries ✓ for manufactured products needed to be used in the manufacturing of their product. ✓
- The tertiary sector depends on the primary sector ✓ for raw materials that do not need processing by the secondary sector. ✓
- The tertiary sector depends on the secondary sector ✓ for manufactured goods such as office machines/office furniture/stationery. ✓
- Any other relevant answer related to the link between the primary, secondary and tertiary sector.

Max. (6)

**2.7 Challenges from micro-environment****2.7.1 Lack of adequate management skills** ✓✓

**Motivation:** The production manager does not have the necessary skills to lead his department. ✓

**NOTE:** Do not award marks for the motivation if the challenge was incorrectly identified.

Max. (3)

**2.7.2 Ways in which business can have a direct influence on the environment**

- Businesses need to be flexible ✓ by getting involved in research/development so that they can continue to operate. ✓
- Influencing their suppliers by signing long term contracts ✓ for their raw materials at fixed prices. ✓
- Influencing their customer base by creating new uses for a product, ✓ taking customers away from competitors/finding new customers and convincing them they need the new product. ✓
- Influencing regulators through lobbying and bargaining ✓ and can influence their owners using information contained in annual reports. ✓
- Initiating bargaining sessions ✓ between management and unions. ✓
- Influencing their owners using information ✓ contained in annual reports. ✓
- Negotiate strategic alliance agreement ✓ through contractual processes. ✓
- Any other relevant answer related to ways in which businesses can have a direct influence on the environment.

Max. (4)

**2.8 Ways in which businesses can overcome competition in the market**

- Businesses must ensure that they produce unique/differentiated goods or services for the target market to satisfy the customer needs and wants. ✓✓
- Businesses need to provide more personalised services by being responsive to their customers' needs/wants/expectations. ✓✓
- Goods/services must be priced lower than competitor's goods/services in the market. ✓✓
- Businesses must produce/sell high-quality/new goods/services that the customers might be interested in. ✓✓
- Create a positive image/publicity through regular engagements in community development projects. ✓✓
- Businesses must improve on customer service and ensuring client satisfaction. ✓✓
- Businesses must create a positive image/outlook by regularly renovating their premises and improving their systems. ✓✓
- Businesses must undertake good marketing campaigns by using promotional ideas such as posters or campaigns on social media that will draw the attention of the target market. ✓✓
- Businesses must offer low-cost extras such as improved credit terms and loyalty schemes. ✓✓
- Businesses must ensure that they have well-trained/knowledgeable and dedicated employees that create a better working atmosphere. ✓✓
- Keeping up with developments in the business sector, following consumer trends/investing in new technology. ✓✓
- Any other relevant answer related to ways in which businesses can overcome competition in the market.

Max. (4)  
[40]

**BREAKDOWN OF MARKS**

| QUESTION 2   | MARKS     |
|--------------|-----------|
| <b>2.1</b>   | <b>3</b>  |
| <b>2.2</b>   | <b>6</b>  |
| <b>2.3.1</b> | <b>2</b>  |
| <b>2.3.2</b> | <b>4</b>  |
| <b>2.4</b>   | <b>4</b>  |
| <b>2.5</b>   | <b>4</b>  |
| <b>2.6</b>   | <b>6</b>  |
| <b>2.7.1</b> | <b>3</b>  |
| <b>2.7.2</b> | <b>4</b>  |
| <b>2.8</b>   | <b>4</b>  |
| <b>TOTAL</b> | <b>40</b> |

**QUESTION 3: BUSINESS OPERATIONS****3.1 Requirements for safe environment**

- Safety policy ✓
- Visible warning signs ✓
- First aid kit ✓
- Safe working environment ✓
- Precautionary measures when handling machinery ✓

**NOTE: Mark the first FOUR (4) quality control bodies only.**

(4 x 1) (4)

**3.2 Advantages of production planning**

- Planning allows businesses to ensure that every machine and worker is used to their full capacity and not left with nothing to do. ✓✓
- A business can ensure that it has the correct amount of supplies and stock/inventory control at a given time. ✓✓
- Planning will prevent time from being wasted and will increase the number of final products. ✓✓
- The planning process involves quality checks, ensures that the correct quality is reached, and that production time is decreased. ✓✓
- Improved inventory control reduces wastage and unnecessary storage cost. ✓✓
- Any other relevant answer related to advantages of production planning.

Max. (4)

**3.3 Consumer goods**

3.3.1 Convenience goods ✓✓

(2)

3.3.2 Speciality goods ✓✓

(2)

**3.4 Reasons why manufacturers may prefer to make use of indirect distribution methods**

- The experienced agents/intermediaries deal with customers, ✓ which allow businesses to focus on core issues. ✓
- Transportation and storage ✓ are taken care of by intermediaries. ✓
- There is no need to hire specialised staff ✓ to do sales complaints. ✓
- Businesses do not have to deal ✓ with customer complaints. ✓
- Businesses enjoy the benefits of bulk orders ✓ from wholesalers. ✓
- Better market coverage is achieved ✓ with using intermediaries. ✓
- Intermediaries understand ✓ how the market operates. ✓
- Consumers are often spread across the country; ✓ distribution needs to be widespread as well. ✓
- Indirect distribution does not require a large investment ✓ in advertising. ✓
- Intermediaries sometimes provide credit to consumers, ✓ which will help attract more consumers. ✓
- Any other relevant answer related to the reasons why manufacturers may prefer to make use of indirect distribution methods.

Max. (4)

**3.5 Requirements of a good trademark**

- Trademarks must be attractive ✓ and promote the product. ✓
- Make it easy for consumers to recognise ✓ the product. ✓
- Easy to recognise, remember ✓ and pronounce. ✓
- Must suit ✓ the product. ✓
- Suitably designed ✓ for the target market. ✓
- Must be different ✓ from its competitors. ✓
- Must promote the image ✓ of the enterprise. ✓
- Link the product ✓ to its promotion strategy. ✓
- Draw the attention ✓ of consumers. ✓
- A good trademark helps build ✓ brand familiarity. ✓
- A good trademark can be registered ✓ according to the requirements of the Trade Marks Act. ✓
- Any other relevant answer related to the requirements of a good trademark.

Max. (4)

**3.6 Purpose of sales promotion**

- Increase and improve the number of products and services sold to customers and increase the sales of products of the business. ✓✓
- Inform existing and new potential customers about the products and services of the business. ✓✓
- Build long-lasting relationships with customers. ✓✓
- Persuade immediate purchases with potential customers. ✓✓
- Determine which sales promotion methods work the best at reaching the target market. ✓✓
- Provide customers with products and services equal to the value promoted in marketing communication. ✓✓
- Remind the target market about current and new products and the availability thereof. ✓✓
- Reconnect with the existing target market. ✓✓
- Improve overall brand awareness of the business with existing and new potential customers. ✓✓
- Improve customer loyalty with existing and new potential consumers. ✓✓
- Activate dormant customers to purchase products and services. ✓✓
- Any other relevant answer related to the purpose of sale promotions.

Max. (4)

**3.7 3.7.1 Selection procedure**

They conducted preliminary interviews as there were many applicants. ✓

SE gave a written offer for the job to the successful candidate. ✓

**NOTE:** Only award marks for the first TWO steps.

(2)

**3.7.2 Steps in the selection procedure****OPTION 1**

- Determine fair assessment criteria ✓ on which selection will be based. ✓
- Applicants must submit the application forms/curriculum vitae ✓ and certified copies of personal documents/IDs/proof of qualifications. ✓
- Sort the received documents/CVs ✓ according to the assessment/selection criteria. ✓
- Screen/Determine which applications meet the minimum job requirements ✓ and separate these from the rest. ✓
- Reference checks/Vetting process should be done ✓ to verify the content of CVs/regarding work experience/criminal records/qualifications. ✓
- Compile a shortlist ✓ of potential candidates identified. ✓
- Shortlisted candidates may be subjected ✓ to various types of selection tests such as skills tests. ✓
- Invite shortlisted candidates ✓ for an interview. ✓
- Inform unsuccessful applicants ✓ about the outcome of their application. ✓/Some advertisements indicate the deadline ✓ for informing only successful candidates. ✓
- Any other relevant answer related to the selection procedure as a human resources activity.

**OR****OPTION 2**

- Receive documentation such as application forms ✓ and sort it according to the criteria of the job. ✓
- Evaluate CVs ✓ and create a shortlist/screen the applicants. ✓
- Check information in the CVs ✓ and contact references. ✓
- Assess/Test candidates ✓ who have applied for senior positions/to ensure the best candidate is chosen. ✓
- Conduct interviews ✓ with shortlisted candidates. ✓
- Any other relevant answer related to the selection procedure as a human resources activity.

**NOTE: The procedure may be in any order.**

**Do not award marks for responses that are quoted from the scenario in QUESTION 3.7.1.**

Max. (6)

### 3.8 Difference between *job description* and *job specification*

| JOB DESCRIPTION                                                                                                                                                    | JOB SPECIFICATION                                                                                                                                        |
|--------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------|
| - Describes duties and responsibilities ✓ of a specific job. ✓                                                                                                     | - Describes the minimum acceptable personal qualities/skills/ qualifications ✓ needed for the job. ✓                                                     |
| - Written description of the job ✓ and its requirements. ✓                                                                                                         | - Written description of specific qualifications/skills/experience ✓ needed for the job. ✓                                                               |
| - Describes key performance areas/tasks ✓ for a specific job such as job title/working conditions/ relationship of the job with other jobs in the business, etc. ✓ | - Describes key requirements for the person who will fill the position, ✓ such as formal qualifications/willingness to travel/work unusual hours, etc. ✓ |
| - Any other relevant answer related to job description.                                                                                                            | - Any other relevant answer related to job specification.                                                                                                |
| Submax 2                                                                                                                                                           | Submax 2                                                                                                                                                 |

**NOTE: 1. The answer does not have to be in tabular format.**

**2. The difference does not have to link but must be clear.**

**3. Award a maximum of TWO (2) marks if the difference is not clear. / Mark either job description or job specification only.**

Max. (4)

### 3.9 Purpose of induction

- Introduce new employees to management/colleagues to establish relationships with fellow colleagues at different levels. ✓✓
- Create opportunities for new employees to experience/explore different departments. ✓✓
- Explain safety regulations and rules, so that new employees will understand their role/responsibilities in this regard. ✓✓
- Communicate information about the products/services. ✓✓
- Allow new employees the opportunity to ask questions that will put them at ease. ✓✓
- Make new employees feel welcome by introducing them to their physical workspace. ✓✓
- Give new employees a tour/information about the layout of the building/office. ✓✓
- Improve skills through in-service training. ✓✓
- Familiarise new employees with the organisational structure/their supervisors. ✓✓
- Ensure that employees understand their roles/responsibilities so that they will be more productive. ✓✓
- Communicate business policies regarding ethical and professional conduct. ✓✓
- Any other relevant answer related to the purpose of induction.

Max. (4)  
**[40]**

**BREAKDOWN OF MARKS**

| <b>QUESTION 3</b> | <b>MARKS</b> |
|-------------------|--------------|
| <b>3.1</b>        | <b>4</b>     |
| <b>3.2</b>        | <b>4</b>     |
| <b>3.3.1</b>      | <b>2</b>     |
| <b>3.3.2</b>      | <b>2</b>     |
| <b>3.4</b>        | <b>4</b>     |
| <b>3.5</b>        | <b>4</b>     |
| <b>3.6</b>        | <b>4</b>     |
| <b>3.7.1</b>      | <b>2</b>     |
| <b>3.7.2</b>      | <b>6</b>     |
| <b>3.8</b>        | <b>4</b>     |
| <b>3.9</b>        | <b>4</b>     |
| <b>TOTAL</b>      | <b>40</b>    |

**QUESTION 4: MISCELLANEOUS TOPICS****BUSINESS ENVIRONMENTS****4.1 TWO types of lobbying**

- Hedging against inflation ✓
- Bargaining sessions between management and unions ✓
- Influencing supervisory body/regulators ✓

**NOTE: Mark the first TWO (2) types of lobbying.**

(2 x 1) (2)

**4.2**

| <b>CHALLENGES</b>                                                            | <b>BUSINESS ENVIRONMENT</b> |
|------------------------------------------------------------------------------|-----------------------------|
| 1. BS lost customers to Tekkie Trainers, which opened two weeks ago. ✓       | Market ✓                    |
| 2. The profitability of BS decreased due to shortage of skilled employees. ✓ | Micro ✓                     |
| <b>Max. 2</b>                                                                | <b>Max. 2</b>               |

**NOTE: Mark the first TWO (2) challenges only.**

**If the business environment is not linked to the challenge, mark the challenge only.**

**Accept the responses in any order.**

(4)

**4.3 Advantages of networking**

- Businesses can attract new customers, ✓ resulting in increased market share and profitability. ✓
- Networking can be an excellent source of new perspectives ✓ and business ideas. ✓
- Allows managers to build new business relationships ✓ and generate new business opportunities. ✓
- Plays a role in the marketing ✓ and expansion of a business. ✓
- Assists businesses in making ✓ future business decisions. ✓
- Businesses can gain support when representation to various authorities ✓ is planned. ✓
- Any other relevant answer related to the advantages of networking. Max. (4)

**4.4 Functions of trade unions**

- Trade unions represent and protect their members ✓ against unfair labour practices in the workplace. ✓
- They empower employees about their rights in the workplace ✓ and how to apply these rights. ✓
- They represent employees in meetings with their employers ✓ when they face workplace grievances and disputes. ✓
- Trade unions negotiate for better working conditions, salaries or wages and other benefits ✓ to improve the standard of living for workers. ✓
- Employees are protected from unfair dismissals ✓ and labour practices. ✓
- They may take legal action ✓ on behalf of their members when necessary.
- Any other relevant answer related to the functions of trade unions.

Max. (4)

**4.5 Purpose of the Labour Relations Act**

- Provides a framework where the employees, trade unions and employers work together to discuss matters relating to employment, e.g. wages, conditions of employment. ✓✓
- Promotes orderly negotiations and employee participation in decision-making in the workplace. ✓✓
- Promotes resolution of labour disputes, through the establishment of the Commission for Conciliation, Mediation and Arbitration (CCMA). ✓✓
- Promotes fair employment practices. ✓✓
- Provides a framework/structure for labour relations between employer and employees. ✓✓
- Provides simple procedures for the registration of trade unions and employers' organisations. ✓✓
- Regulates the rights of trade unions and facilitates collective bargaining. ✓✓
- Regulates the effectiveness of bargaining councils and statutory councils. ✓✓
- Allows workplace forums where employees may participate in decision-making. ✓✓
- Establishes the Commission for Conciliation, Mediation and Arbitration (CCMA) to resolve labour disputes through statutory conciliation, mediation and arbitration. ✓✓
- Endorses the right to strike against retrenchments and facilitates labour disputes. ✓✓
- Clarifies the transfer of contracts of employment procedures. ✓✓
- Establishes Labour Courts and Labour Appeal Courts to deal with labour issues. ✓✓
- Provide fair labour practice between the employer and employee. ✓✓
- Deals with strikes, lockouts and workplace forums. ✓✓
- Establishes workplace forums to promote the interest of all employees in the workplace, whether they belong to the trade union or not. ✓✓
- Advances economic development/social justice/labour peace to ensure the workplace maintains the basic rights of employees. ✓✓
- Any other relevant answer related to the purpose of the Labour Relations Act.

Max. (4)

**BUSINESS OPERATIONS****4.6 Marketing activities**

- Standardisation and grading ✓
- Storage ✓
- Transport ✓
- Financing ✓
- Risk-bearing ✓
- Buying & selling ✓

**NOTE: Mark only the first TWO marketing activities.**

Max. (2)

**4.7 Importance of product development**

- Product design needs to be designed to suit the needs of the customers. ✓✓
- If the product design does not suit the target market, there will be very little demand for the product. ✓✓
- Business needs to develop new products in order to replace older products in stage 4 when the sales decline. ✓✓
- Businesses are able to remain competitive because they are always on the lookout for ways to improve their products. ✓✓
- Products become different from those of the competitors. ✓✓
- Any other relevant answer related to the importance of product development.

Max. (4)

**4.8 4.8.1 Factors that will influence pricing**

- Demand for the product ✓
- Input cost ✓

**NOTE: Mark the first TWO (2) only.**

(2 x 1) (2)

**4.8.2 Importance of pricing**

- The pricing process needs to consider ✓ flexibility/discount/territory/life cycle status/allowance. ✓
- Pricing affects the number of products that an enterprise is able to sell, ✓ which, in turn, affects profitability. ✓
- The price of a product can influence the consumers' attitude ✓ towards the product or the brand. ✓
- If the price is believed to be too high, ✓ fewer consumers may buy the product. ✓
- If the price is too low, ✓ consumers may perceive the goods as being of poor quality. ✓
- The pricing policy should explain when and to whom ✓ discounts will be granted. ✓✓
- The price of a product must make provision for transport costs ✓ and VAT. ✓
- Low sales result in stockpiles of unsold products ✓ that have to be stored and not repaying the cost of manufacturing those products. ✓
- Any other relevant answer related to the importance of pricing.

Max. (4)

**4.9 Role of interviewer during the interview**

- Introduce members of the interviewing panel ✓ to each candidate/interviewee. ✓
- Make the interviewee ✓ feel at ease. ✓
- Explain the purpose of the interview ✓ to the panel and the interviewee. ✓
- Record interviewees' responses ✓ for future reference. ✓
- Do not misinform/mislead ✓ the interviewee. ✓
- Avoid discriminatory/controversial types of questions, ✓ such as asking a female candidate about family planning/having children. ✓
- Provide an opportunity for the interviewee ✓ to ask questions. ✓
- Close the interview by thanking the interviewee ✓ for attending the interview. ✓
- Any other relevant answer related to the role of the interviewer during the interview.

Max. (4)

**4.10 Legal requirements of an employment contract**

- Employment contracts may not contain any requirements that are in conflict with the BCEA. ✓✓
- Both the employer and employee must sign the contract. ✓✓
- Aspects of the employment contract can be re-negotiated during the course of employment. ✓✓
- The Employer and Employee must be satisfied with the conditions in the employment contract. ✓✓
- Neither Employee nor Employer may unilaterally change aspects of the employment contract. ✓✓
- The employment contract should include a code of conduct and a code of ethics. ✓✓
- The employer must explain the terms and conditions of the employment contract to the employee.
- The employment contract should set out clearly the conditions of employment, duties and responsibilities of the Employee. ✓✓
- The remuneration package, including benefits, must be clearly indicated. ✓✓
- The Employer must allow the Employee to read through the contract before it is signed. ✓✓
- Any other relevant answer related to the legal requirements of an employment contract.

Max. (4)  
**[40]**

**BREAKDOWN OF MARKS**

| <b>QUESTION 4</b> | <b>MARKS</b> |
|-------------------|--------------|
| <b>4.1</b>        | <b>2</b>     |
| <b>4.2.1</b>      | <b>2</b>     |
| <b>4.2.2</b>      | <b>2</b>     |
| <b>4.3</b>        | <b>4</b>     |
| <b>4.4</b>        | <b>6</b>     |
| <b>4.5</b>        | <b>4</b>     |
| <b>4.6</b>        | <b>2</b>     |
| <b>4.7</b>        | <b>4</b>     |
| <b>4.8.1</b>      | <b>2</b>     |
| <b>4.8.2</b>      | <b>4</b>     |
| <b>4.9</b>        | <b>4</b>     |
| <b>4.10</b>       | <b>4</b>     |
| <b>TOTAL</b>      | <b>40</b>    |

**TOTAL SECTION B: 80**

**SECTION C**

Mark the answers to the **FIRST** question only

**QUESTION 5: BUSINESS ENVIRONMENTS (ADAPTING TO CHALLENGES OF THE BUSINESS ENVIRONMENTS)****5.1 Introduction**

- Social Responsibility is the obligation a business has to protect its environment and also improve the quality of life of all the people in their communities. ✓
- By being involved in the projects, the business can benefit by showing communities they care. ✓
- Business must be able to adapt to challenges in order to stay ahead of competitors. ✓
- The reasons why businesses lobby can vary but most important is to have a voice in matters that impact on their operations. ✓
- Any other relevant introduction related to projects undertaken as part of social responsibility/benefits of social responsibility for businesses. /Ways to adapt to challenges. /Reasons why businesses lobby.

(Any 2 x 1) (2)

**5.2 Projects that can be undertaken by businesses as part of social responsibility**

- Businesses must allow employees to get involved in social development programmes. ✓✓
- Businesses must protect the environment and participate in community upliftment programmes. ✓✓
- Engage in environmentally friendly campaigns, such as recycling or re-using scarce resources. ✓✓
- Businesses must support less fortunate people by providing donations to charity organisations. ✓✓
- They can also engage in economic development and provide education on HIV/AIDS awareness programmes. ✓✓
- Involvement in community education. /Build schools in communities. /Offer bursaries to needy students. /Donate old computers to less privileged schools/Provide/Support adult education and training in the local community. ✓✓
- Teach entrepreneurial skills/Offer support to individuals starting new business ventures. ✓✓
- Conduct skills development/job creation projects. /Offering bricklaying courses. ✓✓
- Sponsor art and cultural programmes, such as school choirs. ✓✓
- Support youth programmes, such as sport/recreational activities. ✓✓
- Any other relevant answer related to the projects that can be undertaken by businesses as part of social responsibility.

Max. (12)

**5.3 Benefits of social responsibility projects for businesses**

- Increases employees' morale and job satisfaction ✓ when they are involved in social responsibility programmes. ✓
  - Businesses can use CSR/CSI projects as a marketing strategy ✓ to promote their products. ✓
  - CSI helps to attract investors ✓ because of increased profits/income. ✓
  - Promotes customer loyalty, ✓ resulting in more sales. ✓
  - May attract experienced employees/increase the pool of skilled labour, ✓ which could increase productivity. ✓
  - Positive/improved image ✓ as the business looks after employees/responsibly conducts itself. ✓
  - A business may have a competitive advantage, ✓ resulting in good publicity/an improved reputation. ✓
  - The business enjoys the goodwill/support ✓ of communities. ✓
  - Any other relevant answer related to the benefits of social responsibility projects for businesses.
- Max. (12)

**5.4 Ways to adapt to challenges****5.4.1 Information management**

- Information must be found/recorded/stored/easily retrieved ✓ and effectively used. ✓
- Businesses need to implement an effective information management system ✓ which is accessible and useful to all staff. ✓
- Information must be managed efficiently ✓ and a system must be put in place so that the relevant staff can easily access it. ✓
- Substantial capital should be invested into information technology (IT) systems ✓ to update business operations. ✓
- Modern IT solutions enable businesses to satisfy customer needs ✓ more efficiently. ✓
- Any other relevant answer related to information management as a method to adapt to challenges of the business environments.

Sub max. 6

**5.4.2 Strategic responses**

- Management needs to design strategic responses to various challenges ✓ by analysing all information and identifying stakeholders involved. ✓
- Get a clear picture ✓ of each stakeholder's viewpoints and requirements. ✓
- Businesses should have a strategic plan ✓ to respond to changes in the business environment. ✓
- Any other relevant answer related to strategic responses as a method to adapt to challenges of the business environments.

Sub max. 6  
Max. (12)

**5.5 Reasons why businesses lobby**

- Businesses lobby to change laws like child labour laws, clean air and water laws and municipal regulations. ✓✓
- The views of lobby groups are important and make a difference by giving solutions to business challenges. ✓✓
- Lobbying advances what the business must deliver on and builds public trust. ✓✓
- Lobbying helps to find solutions to emerging generic challenges. ✓✓
- Businesses lobby their regulator or supervisory body in order to try to influence prices, policies, regulations and other decisions made by the regulator or the supervisory body. ✓✓
- Any other relevant answer related to the reasons why businesses lobby.

Max. (10)

**5.6 Conclusion**

- The public image of the business can improve when they get involved in social responsibility projects. ✓✓
- The social responsibility projects can have a positive impact on communities and contribute to the success of businesses. ✓✓
- To stay ahead of competitors, businesses must be adaptable and devise the necessary strategies to overcome changes and challenges in the business environments. ✓✓
- Lobbying can assist businesses to have a say in matters that influence their sustainability. ✓✓
- Any other relevant conclusion related to projects undertaken as part of social responsibility/benefits of social responsibility projects for the business/ways to adapt to challenges/reasons why businesses lobby.

(Any 1 x 2) (2)  
**[40]**

**QUESTION 5: BREAKDOWN OF MARKS**

| DETAILS                                                                        | MAXIMUM | TOTAL          |
|--------------------------------------------------------------------------------|---------|----------------|
| Introduction                                                                   | 2       | <b>Max. 32</b> |
| Projects that can be undertaken by businesses as part of social responsibility | 12      |                |
| Benefits of social responsibility projects for businesses                      | 12      |                |
| Ways to adapt to challenges<br>Information management<br>Strategic responses   | 12      |                |
| Reasons why business lobby                                                     | 10      |                |
| Conclusion                                                                     | 2       |                |
| <b>INSIGHT</b>                                                                 |         |                |
| Layout                                                                         | 2       | <b>8</b>       |
| Analysis, interpretation                                                       | 2       |                |
| Synthesis                                                                      | 2       |                |
| Originality/Examples                                                           | 2       |                |
| <b>TOTAL MARKS</b>                                                             |         | <b>40</b>      |

\*LASO – For each component:

Allocate 2 marks if all requirements are met.

Allocate 1 mark if only some of the requirements are met.

Allocate 0 marks where requirements are not met at all.

**QUESTION 6: BUSINESS OPERATIONS (PRODUCTION FUNCTION)****6.1 Introduction**

- The OHSA was implemented to protect the health and safety of employees. ✓
- Production planning involves several aspects such as setting the goals for the production department and developing the policies and programmes to achieve these goals. ✓
- TQM helps to design, produce, provide quality products and services to customers. ✓
- Any machinery, large or small, can cause serious injuries and precautionary measures must be in place to protect workers. ✓
- Any other relevant introduction related to the ways to comply with the OHSA/aspects during production planning/TQM as part of the quality management system/precautionary measures when handling machinery.

(Any 2 x 1) (2)

**6.2 Purpose of OHSA**

- Protects the health and safety and welfare of employees. ✓✓
- Outlines the roles and responsibilities of employers, employees, manufacturers and suppliers regarding health and safety in the workplace. ✓✓
- Requires every business to establish and maintain, a safe work environment that is without risk to the health of the workers. ✓✓
- Reviews the efficiency of health and safety measures. ✓✓
- Outlines the roles and responsibilities of employer, employees, manufacturers, designers, importers, suppliers and sellers. ✓✓
- Clarifies the roles and duties of the health and safety representative and committee. ✓✓
- Requires that the main dangers and potential incidents of the workplace be identified and eliminated. ✓✓
- Examines the causes of incidents by any employee relating to the employee's health and safety at work. ✓✓
- Expects employees to co-operate and follow the necessary instructions and report any unsafe situations. ✓✓
- Makes presentations to the employer concerning general health and safety issues at the workplace. ✓✓
- Any other relevant answer related to the purpose of the OHSA.

Max. (12)

### 6.3 Aspects during production planning

#### 6.3.1 Loading

- Involves planning who will be responsible for each activity ✓ identified during the routing process. ✓
- Involves allocating every person/machine ✓ to their task. ✓
- Loading calculates the amount of time each machine will need to operate ✓ during a day. ✓
- It also indicates which machines are not being used ✓ to their full capacity. ✓
- It is linked to the output required to fulfil orders ✓ and prevent the overloading of employees and machines. ✓
- Any other relevant answer related to loading as part of production planning.

Submax. 6

#### 6.3.2 Scheduling

- Scheduling involves the timing ✓ of the production process. ✓
- It prioritises certain jobs and determines which jobs need to be completed ✓ before the next one can take place. ✓
- Scheduling takes into consideration the routing and loading ✓ of both labour and machinery. ✓
- Involves calculating the time required to perform each activity ✓ in the manufacturing process. ✓
- Planning when each activity should start, ✓ and then calculating the time required to complete the whole process. ✓
- Time periods that need to be worked out, ✓ considering the preparations of raw material/delivery of raw materials/delivery of final products, etc. ✓
- Scheduling is affected by capacity ✓ and size of the business/availability of staff/machinery and materials. ✓
- The more detailed the schedule, the better a resource it will be ✓ for controlling the process. ✓
- Any other relevant answer related to scheduling as part of production planning.

Submax. 6  
Max. (12)

### 6.4 Explain TQM as part of the quality management system

- It is a management philosophy that seeks to integrate ✓ all organisational functions such as marketing/finance/customer services, etc. ✓
- The focus is on improving the quality of products and services ✓ in order to satisfy the needs of customers. ✓
- Total Quality Management refers to all aspects of quality ✓ within the business. ✓
- It is the responsibility of everyone in the organization, ✓ from top management to general workers. ✓
- Businesses strive to get it right the first time ✓ by implementing the elements of Total Quality Management. ✓
- It is a thought revolution in management, ✓ where the entire business is operated with customer orientation in all business activities. ✓
- Any other relevant answer related to total quality management (TQM) as a part of quality management systems.

Max. (12)

**6.5 Precautionary measures that businesses should take when handling machinery**

- Familiarise employees with safety procedures. ✓✓
- Develop a culture of safety in the workplace. ✓✓
- All machinery and equipment must be correctly installed and safe to use. ✓✓
- Workers must be properly trained on how to use machinery and must be informed about the risks when using the machinery. ✓✓
- Regular safety checks must be carried out and machinery should be maintained and serviced regularly. ✓✓
- Workers need to wear protective clothing/gear, such as overalls/hard hats/safety helmets/masks/heavy-duty safety boots/welding goggles when working with machinery and equipment. ✓✓
- Any other relevant answer related to precautionary measures that businesses should take when handling machinery.

Max. (10)

**6.6 Conclusion**

- The OHSA was introduced to ensure the health and safety of employees and complying with this act can protect businesses from huge legal claims. ✓✓
- There will always be changes in the manufacturing process, and that is why production planning must be done accurately and carefully. ✓✓
- TQM enables businesses to continuously improve on the delivery of products and services to satisfy the needs of customers. ✓✓
- Business must ensure that employees adhere to precautionary measures when handling machinery to prevent accidents from happening. ✓✓
- Any other relevant conclusion related to the purpose of the OHSA/aspects during production planning/TQM as part of the quality management system/precautionary measures when handling machinery.

(Any 1 x 2) (2)  
[40]**QUESTION 6: BREAKDOWN OF MARKS**

| DETAILS                                        | MAXIMUM | TOTAL     |
|------------------------------------------------|---------|-----------|
| Introduction                                   | 2       | Max. 32   |
| Purpose of OHSA                                | 12      |           |
| Aspects of production planning                 | 12      |           |
| TQM as part of the quality management system   | 12      |           |
| Precautionary measures when handling machinery | 10      |           |
| Conclusion                                     | 2       |           |
| Boed                                           |         |           |
| Layout                                         | 2       | 8         |
| Analysis, interpretation                       | 2       |           |
| Synthesis                                      | 2       |           |
| Originality/Examples                           | 2       |           |
| <b>TOTAL MARKS</b>                             |         | <b>40</b> |

Allocate 2 marks if all requirements are met.

Allocate 1 mark if only some of the requirements are met.

Allocate 0 marks where requirements are not met at all.

**TOTAL SECTION C: 40**  
**GRAND TOTAL: 150**